



TOO HOT TO HANDLE: Prices of food items have skyrocketed

ment target since 2006-07. While India's policy-makers have been busy celebrating 8 per cent-plus economic growth, they have not factored in consequent increase in the demand for food. Food has an elasticity of demand of 0.7 per cent. Put simply, for 1 per cent of growth in per capita income, the demand for food goes up by 0.7 per cent. And if India's 9 per cent growth is set off against the population, then per capita growth works out to 7.5 per cent. Explains Siddhartha Roy, economic adviser to Tata Sons: "If you grow at 7.5 per cent per capita, then the demand for food goes up by 5.2 per cent. However, agriculture production has been growing at 2.6 per cent."

While initiatives like Bharat Nirman are likely to provide a boost to the sector, if the Government really wants farmers to continue to enjoy the benefits of free market to trickle down to them, it should allow them better realisations from foodgrain. Apart from stagnant acreage hindering the increase in production, more and more farmers are shifting away from cereals and foodgrain to cash crops such as cotton, sugarcane, corn and jute.

The area under the production of foodgrain over a 16-year period has witnessed an average annual decline of 0.26 per cent between 1989-90 and 2005-06. According to the Economic Survey 2007-08, the production of non-food crops, particularly sugarcane, cotton and jute (including mesta), has exceeded both the targets and the levels achieved in the previous year. Says Jayant Manglik, head of commodity business, Religare Commodities: "The reason why production of wheat is not on par with target is because farmers are shifting to other commodities like sugar and corn. Rising fuel prices have made these commodities more lucrative as they are used to make bio-fuel."

With inflation levels reaching sky-high levels, increasing the productivity of the agriculture sector is the only way to bring food prices under control. Productivity increase is also considerably dependent on capital formation both from the public and the private

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sectors. Gross capital formation in agriculture as a proportion to the total capital formation has shown a continuous decline in the last few years. According to the Economic Survey, the gross capital formation in agriculture relative to gross domestic product has, however, shown

an improvement from 9.6 per cent in 2000-01 to 12.5 per cent in 2006-07. This needs to be raised to 16 per cent during the 11th Five-Year Plan to achieve the growth target of 4 per cent in this sector.

The road ahead is clearly outlined in the Survey, which states that there is a need to build an outcome-oriented perspective in the implementation of public programmes in the area of irrigation, fertilisers, use of high-yielding varieties of seeds, extension support for facilitating adoption of improved practices, and market access. Is the finance minister listening?

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